UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2023/2024

MAY EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

MONDAY, 13 MAY 2024 TIME: 9.00 AM – 12.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONOURS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

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Section A **[Total: 40 marks]**
(Answer this ONE compulsory question)

Q1. Jeetdoh America Group (JAG) is a U.S. manufacturer and distributor of firearms such as rifles, pistols, machine guns and bullets. Its production plant is located at Pennsylvania, Washington. Once produced, its firearms will be distributed throughout the U.S. as well as exported to Ukraine, Israel, Taiwan and Philippines. JAG usually imports carbon steel, an important raw material to produce firearms, from its Turkish supplier located at Istanbul, Turkey. Recently, JAG imported carbon steel with a total invoice amount of Turkish Lira (TRY) 25,250,000. The supplier gave JAG 90 days' credit term. JAG has no idle cash and its gearing ratio equals to its industry norm, which is 70% debt and 30% equity. Its after-tax cost of debt is 7% and cost of external equity is 16%.

Information gathered by Mr. Karma Raimondo, Treasurer of JAG, on the exchange rates between Turkish Lira (TRY) and U.S. Dollar (USD) as well as interest rates is as follows:

Spot exchange rate (TRY/USD)	30.7050 – 30.9413
90-day forward quotation	150 – 46 basis points
90-day USD interest rate	3.20% - 4.00%
90-day TRY interest rate	5.60% - 6.00%

Besides that, 90-day put options on TRY with a strike rate of TRY30.3250/USD is available at a premium of 1.50%, while 90-day call options on TRY with a strike rate of TRY30.3470/USD is available at a premium of 1.20%.

Required:

(a) Calculate JAG's weighted average cost of capital. (2 marks)

(b) Formulate the following contractual hedging strategies for JAG and calculate the total payment for each strategy in USD after hedging:

(i) Forward market hedge (4 marks)

(ii) Money market hedge (11 marks)

(iii) Options market hedge (11 marks)

(c) Calculate the break-even future spot rate and recommend the most optimal contractual hedging strategy to JAG. (4 marks)

(d) State **FOUR (4)** financial incentives that can attract inflow of foreign direct investment. (8 marks)

[Total: 40 marks]

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Section B **[Total: 60 marks]**
(Answer any TWO out of three questions)

Q1. (a) Why the cost of capital of multinational corporations could be **lower than** that of domestic firms? State **THREE (3)** possible reasons. (10 marks)

(b) Cristiano Berhad considers raising 65% of its foreign currency loans in British Pound (GBP) and 35% in Euro (EUR). The financing raised will be used to meet working capital needs of its foreign subsidiaries located in Manchester and Madrid. The maturity period for both GBP and EUR loans are one year. Interest rate on GBP loan is 4.90%, while interest rate on EUR loan is 6.60%. For the coming year, GBP is expected to either depreciate 10% or appreciate 3% against MYR, equally likely. On the other hand, EUR is expected to either depreciate 8% or appreciate 6% against MYR, with probabilities of 30% or 70% respectively.

Required:

Compute possible portfolio effective financing rates with the associated joint probabilities for Cristiano Berhad. **[Note: present your computations in organised tabular format.]** (12 marks)

(c) Evaluate **FOUR (4)** disadvantages of cross-border acquisition in comparison to Greenfield investment. (8 marks)
[Total: 30 marks]

Q2. (a) Evaluate how a multinational corporation's capital structure is affected by:

(i) Less stable cash flows due to uncertain global business environment. (4 marks)

(ii) More access to retained earnings generated by its foreign subsidiaries. (4 marks)

(b) Analyse whether the implementation of the Regional Comprehensive Economic Partnership (RCEP) is likely to favourably or unfavourably affecting exporting and importing Malaysian small and medium enterprises (SMEs). (6 marks)

Section B Q2. (Continued)

(c) Zlatan Berhad is a Malaysian textile manufacturer. As part of its plan to penetrate into Scandinavian region markets and reduce logistical costs, it is considering two potential capital budgeting projects in Sweden. The current spot exchange rate between Swedish Krona (SEK) and Malaysian Ringgit (MYR) is SEK2.1600/MYR.

Inflation rates in Malaysia and Sweden are expected to be 3% and 7% per annum respectively over the next three years. Zlatan Berhad has a weighted average cost of capital of 8% for textile segment businesses.

Project X located in the city of Gothenburg requires initial outlay of SEK 16.48 million and is expected to generate after-tax net cash inflows of SEK 20.00 million per annum over the next three years. Project Y located in the city of Malmo requires initial outlay of SEK 19.67 million and is expected to generate after-tax net cash inflows of SEK 13.00 million in Year 1, SEK 23.00 million in Year 2 and SEK 33.00 million in Year 3.

Required:

(i) Assume that the relative purchasing power parity holds, estimate future spot rates of SEK/MYR for Year 1, Year 2 and Year 3. (6 marks)

(ii) Calculate the net present value for both projects in MYR. Advise Zlatan Berhad on which project should be undertaken if the projects are independent. (10 marks)

[Total: 30 marks]

Q3. (a) Spot rates of Israeli New Shekel (ILS) and U.S. Dollar (USD) are as follows:

USD/ILS	Bid	Ask
Bank Hapoalim	0.3025	0.3064
Citibank	0.2965	0.2985

Required:

Decide when the opportunity for locational arbitrage will arise. Calculate the arbitrage profit for the arbitrageur who has an initial capital of USD 267,000. (7 marks)

(b) Imperfection in the markets for factors of production, products and financial assets will translate into opportunities for multinational corporations. Explain **FIVE (5)** revenue-related motives which prompt multinational corporations to engage in foreign direct investment. (10 marks)

Section B Q3. (Continued)

(c) With the U.S. imposing more restrictions on China's semiconductor chips and the related supply chain industries, suggest how Malaysia can benefit from such restrictions. (5 marks)

(d) The new iPhone 15 is sold at U.S. Dollar (USD) 900 in the U.S., New Taiwan Dollar (TWD) 26,000 in Taiwan and Philippine Peso (PHP) 52,000 in the Philippines. Current spot rates in the FOREX are TWD30.54/USD and PHP54.53/USD.

Required:

Assume the law of one price holds, compute the percentage over- or under-valuation of TWD and PHP against the USD respectively. (8 marks)

[Total: 30 marks]